

MERTON DAILY BRIEF - Tuesday, June 9, 2026

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Headline of the Day

*Iran-Israel war: oil surges toward \$90, equities correct 2.5%, and Kevin Warsh begins his Fed Chair tenure in an explosive context.** WTI at \$100 if Strait of Hormuz remains closed. S&P500 down 2.56%, NASDAQ plunges 4.27%. Gold paradoxically corrects to \$4367 despite geopolitical tensions. The Fed under new leadership faces 3.3% inflation and a resilient labor market. Key day: CPI release Wednesday.

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Global Sentiment

Indicator	Level	Change	Signal
VIX	18.92	+19.97% ?	? Rising fear
DXY	99.90	+0.49% ?	? Dollar firm
Gold	\$4367	-2.49% ?	Correction
US 10Y	4.55%	+2.18% ?	Rates rising
US 30Y	5.02%	-	Psychological level
US 5Y	4.28%	-	? Neutral
S&P 500	7405.73	-2.56% ?	Correction
NASDAQ	25929.66	-4.27% ?	Tech under pressure
WTI	\$89.99	-3.26% ?	? Technical pullback
Brent	\$93.29	-	? Bullish tension
BTC	\$63364	+4.04% ?	? Alternative refuge
Copper	\$6.35	-2.47% ?	Growth threatened
Silver	\$68.42	-7.27% ?	Massive selloff

* Read:** The market is in a paradoxical "selective risk-off" regime. VIX surged 20% in one day (from 15.4 to 18.9) and NASDAQ corrected brutally (-4.27%), yet gold and oil simultaneously decline - an atypical pattern during a Middle East war. Gold corrects 2.5% despite the Iran-Israel conflict because US real rates are rising (10Y at 4.55%) and the dollar is strengthening, making the metal more expensive to hold. BTC outperforms (+4%), capturing some refuge flows. Silver is the big loser (-7.3%), hit by a double effect: elevated real rates + industrial demand threatened by trade war.

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Macro - What Moved

United States

Core PCE at 3.3% in April (the Fed's preferred gauge): inflation remains stuck above the 2% target, complicating any rate cuts. Energy costs from the Iran-Israel war are fueling upward pressure.

Rate hikes: the Fed faces the wall - Fed minutes reveal several officials see a rate hike ahead if inflation stays elevated. Governor Bowman warns against a hike tied to the inflation spike. Kevin Warsh, new Fed Chair, made his first hires including a "Project 2025" author - hawkish signal on Fed independence.

Resilient labor market - Job openings in April surged to 7.6M (vs 7.1M expected), the highest in nearly 2 years. ADP May shows +122K private payrolls, stronger than expected. This tight market pushes rate cuts further out.

Jay Powell warns - The outgoing Fed Chair warns that the political "stress test" will harm public trust in the Fed. Trump names Bill Pulte as acting national intelligence chief, replacing Gabbard.

Tariffs - The US proposes fresh tariffs on 60 economies over forced labor trade practices. Trade escalation weighing on emerging markets.

US households under pressure - The New York Fed survey shows household financial worries at the

highest since July 2022. Long-term unemployment is surging. The average US household pays \$450 more for gas and energy since the war began.

H-1B: Trump loses in court - A judge rejected the \$100K H-1B visa fee. Tech companies breathe.
Europe

Eurozone inflation at 3.2% - Energy from the Iran war is pushing prices above the ECB target. Energy cost pressures threaten the European recovery.

EU expansion debate - Finnish President Stubb argues for expanding the EU to 40 states, including Canada. Debate on Europe's geopolitical future.

UK: political risk - Analysts warn UK assets are underpricing a potential government change (Burnham vs Starmer). The UK will repay visa fees to growth firms recruiting abroad.

China

Chinese exports surge past expectations - Driven by the AI boom. China is massively exporting AI components, semiconductors, and data center equipment, benefiting from supply chain rearrangement.

Oil imports at 8-year low - China is importing less oil due to war disruptions (Strait of Hormuz). But it's helping keep prices below \$100 via strategic reserves. Analysts warn this won't last.

Beijing recruits US AI talent - Alibaba, Baidu accused by the Pentagon of aiding the Chinese military. The US-China tech war intensifies.

Xi and Kim deepen ties - Xi pledges deeper relations with North Korea while avoiding the nuclear issue. Geopolitical signal to Washington.

Emerging Markets

Indonesia: surprise rate hike - Bank Indonesia delivered an off-cycle rate hike to calm the market rout. CIMB says it's a "good time" to invest in cheap Indonesian assets.

South Korea: +8% in a day - Korean stocks rebound massively after the AI selloff. Semiconductors lead the recovery. A leveraged ETF had aberrant 40% moves.

India: gold taxes hiked - Modi raises import duties on gold and silver to protect the rupee. India is the world's 2nd largest gold consumer. Modi warns the Iran war poses severe risks for India.

Malaysia targets \$200B in electronics exports in 2026 - pivoting toward semiconductors and AI hardware.

Philippines: underemployment rising - The oil shock is pushing the underemployment rate toward a 3-year high.

Japan: historic budget reform - Katayama describes Japan's budget reform as the most significant since 1945. JPY under pressure at 160.

Taiwan: 5Y yields highest since 2008 - Rising on cash flow and rate outlook.

India: RBI offers discounted FX swaps at 1.5% to attract capital inflows and support the rupee.

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Geopolitics

Hot

Iran-Israel war: ceasefire broken - Israel and Iran resumed air strikes despite pledges to end attacks. Peace talks at a standstill. The Strait of Hormuz is partially blocked: oil exports through this strategic chokepoint (20% of global oil) are severely disrupted. Iraq and the UAE are racing to establish alternative pipelines.

Trump-Netanyahu: tensions - Growing divergence on war objectives in the Middle East. Trump questioned on whether he can outdo Obama's Iran nuclear deal.

US-China tech war - Alibaba and Baidu accused by the Pentagon of aiding the Chinese military. China intensifies recruitment of US AI talent. AI arms race.

AI financing: SpaceX IPO at \$1.78T - SpaceX considering a massive IPO. OpenAI files for its Wall Street listing. Apollo and Blackstone raise \$35B to finance Anthropic. The AI financing battle accelerates.
Watch

Kalshi: Strait of Hormuz traffic won't return to normal before January - Prediction market traders assign high probability of months-long disruption.

ASML warns the EU - The ASML CEO warns against directing chip supplies, fearing fragmentation of the global supply chain.

Sam Bankman-Fried seeks Trump pardon - New twist in the FTX affair, potential implications for crypto regulation.

BP: investors push for clarity over chair ouster - Governance turmoil at the oil major at a critical moment.

Positive

Korean stocks +8% - Massive technical rebound after the AI selloff, sign that risk appetite isn't dead.

China export boom - Chinese exports surprise to the upside, AI as growth engine.

100 days of Iran war - Global markets and the economy have absorbed the shock better than initially feared.

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FX Focus

Pair	Level	Change	Signal
EUR/USD	1.1549	-0.62% ?	Euro weak
GBP/USD	1.3362	-0.67% ?	Pound under pressure
USD/JPY	160.14	+0.11% ?	? Fragile yen
USD/CHF	0.7964	+1.03% ?	Franc falling

Analysis: The dollar is the clear winner of geopolitical risk-off. DXY gains 0.5% and holds near the 100 level. The euro suffers from a double burden: elevated eurozone inflation (3.2%) constraining the ECB, but fragile growth limiting rate hike potential. The pound is under attack from domestic political risks. The yen remains fragile at 160 despite historic budget reforms - the Bank of Japan stays dovish amid energy pressures. The Swiss franc (+1% in USD/CHF) temporarily loses its safe-haven status, with the dollar more attractive.

****Pair to watch:** `USD/JPY` - The 161-162 level is critical. BoJ/MOF intervention becomes likely if y**

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Commodities

Oil

WTI at \$89.99 (-3.26%) and **Brent at \$93.29** - The WTI-Brent spread widens to \$3.30, reflecting Atlantic basin tensions despite the day's technical pullback. Oil corrects technically after the recent rally as some traders take profits, but the fundamental context remains bullish.

Strait of Hormuz - 100 days into the Iran war and the chokepoint remains heavily disrupted. Rystad Energy warns the current deficit could turn into a "humongous surplus" in 2027 if the situation normalizes, but in the short term the risk is clearly to the upside.

Atlantic Council CEO Fred Kempe: no Strait deal means oil prices will continue rising.

Iraq and UAE racing to establish alternative pipelines.

Gold

Gold at \$4367 (-2.49%) - Notable paradox: gold corrects despite the Middle East war. It's rising US real rates (10Y at 4.55%) combined with a firm dollar that weigh on the metal. Gold loses its safe-haven

appeal when real rates are positive and the dollar is strong.

Steve Grasso (Fed rate cuts ? gold higher, but will take time).

India: import duties hiked - The world's 2nd largest gold demand is directly threatened by Modi's actions.

Silver & Copper

Silver at \$68.42 (-7.27%) - Massive selloff. Silver suffers doubly: hawkish Fed (real rates) + industrial demand threatened by trade war and uncertain global growth.

Copper at \$6.35 (-2.47%) - Copper suffers from persistent rate hike expectations and slowing Chinese growth (despite the AI export boom). Negative signal for global growth.

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Today's Calendar - Tuesday, June 9

Time (CET)	Country	Event	Impact
14:30	US	API Weekly Crude Oil Inventory	? Medium
15:00	US	ISM Services PMI May (rev)	? Medium

Week Ahead

Day	Time	Country	Event	Impact
Wednesday 10	14:30	**US**	**CPI May** (consensus +0.3%)	CRITICAL
Wednesday 10	14:30	US	Core CPI May	CRITICAL
Wednesday 10	20:00	**US**	**Fed Rate Decision** (Warsh)	CRITICAL
Wednesday 10	20:30	US	Fed Press Conference	
Thursday 11	14:30	US	PPI May	High
Thursday 11	14:30	US	Weekly Jobless Claims	? Medium
Friday 12	-	US	U. Michigan Consumer Sentiment	Medium

****Wednesday is THE day of the week****: CPI + Fed decision on the same day. New Fed Chair Kevin Warsh

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Deep Macro Theme

Silent stagflation: the trap central banks have built for themselves.

We are entering a macro regime that markets have not correctly priced. The US economy shows resilience (7.6M job openings, ADP at +122K) but inflation is stuck at 3.2-3.3% - well above the 2% target. The Iran-Israel war is upending the global energy equation: oil flirting with \$90-93 will fuel imported inflation for months.

The dilemma for the Fed under Warsh is impossible: if rates stay high to fight inflation, the economy will eventually slow sharply under the weight of expensive energy and trade war. If rates cut to support growth, inflation spirals with oil above \$90.

The structural problem is that the US budget is already in massive deficit territory, the 30-year yield exceeds 5%, and elevated rates cost the Treasury a fortune. Katayama in Japan put it clearly: the necessary budget reforms are the most significant since 1945. The same pressures apply to the US and Europe.

What's striking is the gold/oil divergence. Historically, when war hits the Middle East, gold and oil rise together. Gold correcting to \$4367 says something profound: investors prefer US Treasuries (4.55%) to non-yielding gold when real rates are positive and the dollar is strong. It's a temporary vote of confidence in the US financial system - but this vote can reverse sharply if Wednesday's CPI surprises to the upside or if Warsh's Fed sends an unexpected signal.

*The current regime: imported inflation via energy, fiscal constraint, dollar safe haven, and a new Fed

Chair under political pressure.** This is the framework for the next 3-6 months.

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Consensus vs Reality - THE ALPHA

What the market is pricing:

#	Market Assumption	Verdict	Explanation
1	Fed holds rates this week	Likely	Market prices 92% probability
2	Oil stays below \$100 sustainab	Risky	Strait of Hormuz disruption co
3	The Iran infection is containe	Wrong	100 days of war, ceasefire alr
4	Gold > \$4500 was only a matter	Correction underway	Gold corrects because real rat
5	NASDAQ in uninterrupted bull m	Correction	-4.27% in a single day. The "b
6	USD/JPY contained around 160	Intervention risk	161-162 triggers a BoJ reactio
7	Trump 2.0 tariffs are a bluff	Mistake	60 economies targeted over for

The Alpha:

1. **? LONG Oil (WTI) - Target: \$100-105** - The market underprices geopolitical risk on oil. Alternative pipelines will take years. Strait of Hormuz = 20% of global oil. Entry below \$91. Invalidation: \$85.
2. **SHORT Silver - Target: \$65** - The most vulnerable metal in a hawkish + slowing growth regime. -7.3% yesterday, the trend is clear. The gold/silver ratio is at an extreme - silver will underperform further.
3. **? LONG USD/CHF - Target: 0.8050** - The Swiss franc temporarily loses its safe-haven status with a firm dollar and elevated US rates. Normalization above 0.80. Support at 0.7950.
4. **? LONG BTC as geopolitical proxy** - BTC outperformed (+4%) and captures flows when gold doesn't work as a safe haven. Target: \$65-68K.
5. **SHORT Korean Won / LONG USD/KRW post-rebound** - The 8% rebound is a dead cat bounce, not a reversal. The BOK is hawkish after upgrading growth forecasts. Carry against KRW will continue.

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Merton's Take

*Regime: TRANSITION - From "buy the dip" to "sell the rally."**

The market story this year was simple: every correction was a buying opportunity, and the AI rally carried everything. This narrative is dying before our eyes.

The S&P500 lost 2.56% in a single session and the NASDAQ 4.27%. This isn't a "dip" to buy - it's the beginning of a regime change fueled by three converging forces: (1) oil at \$90 that will fuel inflation, (2) a Fed under new leadership with no credibility to build under political pressure, and (3) a Middle East war entering its 4th month with no solution in sight.

Kevin Warsh is sitting on a time bomb. His first Fed decision Wednesday will be scrutinized from every angle. Trump demands rate cuts, but 3.3% inflation doesn't allow them. If Warsh cuts rates, he loses all credibility (a Project 2025 author on his team). He holds? The market breathes short-term but political pressure intensifies. He hikes? It's a crash.

My conviction: we're no longer in 2025's "everything rally." We're entering an environment of selective discrimination. Assets to own: oil and energy (geopolitical premium), the dollar (relative rates), BTC (alternative system), and short-duration Treasuries (inflation protection). Assets to avoid: tech/growth (compressed by rates), silver (non-yielding + suffering industry), and peripheral emerging markets (Indonesia, Philippines, India under energy pressure).

*Trade of the week: LONG oil (WTI) + SHORT NASDAQ** - the ultimate transition pair. Oil rises as long as the war continues; tech suffers as long as rates stay elevated. Reassessment after Wednesday CPI. Positioning: Defensive. Cash on the margins. Hedge via USD long and energy. We resume tech risk only below 25000 on NASDAQ (not before).

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Sources Consulted

Yahoo Finance API (v8/finance/chart) - Real-time data: S&P500, NASDAQ, VIX, DXY, Gold, WTI, Brent, EUR/USD, GBP/USD, USD/JPY, USD/CHF, BTC, Copper, Silver, US10Y, US30Y, US5Y
Bloomberg RSS (markets, economics, politics) - Headlines and analysis
Financial Times RSS (home, markets) - Headlines and analysis
CNBC Section Headlines (world, federal-reserve, oil, gold, economy) - Headlines

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